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Leader Harmonious Drive Systems | Asia Pacific

2Q26 Results Miss on Fast Capacity Expansion

AlphaSignals Earnings Reaction

Unchanged

Impact to our thesis

↓ Modest shortfall

Financial results versus consensus

— Largely unchanged

Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- Humanoid robots remained the primary growth driver, with 2Q26 shipments matching, if not surpassing, industrial robots.
- Harmonic reducer capacity is expanding rapidly, now above 80k units/month and Leaderdrive targeting 120k by year-end, up from 50-60k in May.
- However, the capacity ramp and rapidly expanded headcount (1H26 +40% HoH, +72% YoY) will take time to reach normal utilization, pressuring margins.
- Management remains highly confident in the growth outlook, targeting Rmb1bn revenue (vs. MSe Rmb950mn/consensus Rmb915mn) and Rmb200mn net profit.
- We expect negative stock reaction on earnings and HK listing plan. Having said that, we remain positive on its key positioning in intelligent robots.

2Q26 revenue Rmb208mn (+36% YoY, +49% QoQ) and net profit Rmb37mn (+13% YoY, +15% QoQ), both below our and consensus forecasts.

Gross margin fell 3.9ppt YoY and 2.3ppt QoQ to 31.3%, pressuring net margin to 18%, -3.6ppt YoY and 5.3ppt QoQ. Harmonic reducer ASP has declined steadily to ~Rmb800-1k per unit amid competition and capacity expansion.

We attribute 2Q26 margin erosion to capacity ramp and new hires as well as lower prices.

New product is expected to ramp up too: Planetary reducer shipments remained limited in 2Q26. Management does not expect meaningful margin dilution, as Leaderdrive targets high-end products. Planetary roller screw shipments are expected to begin in 3Q26. The bearing product will be in a JV with SKF, with shipments to begin by year-end.

Leaderdrive announced plan to list in Hong Kong.

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Leader Harmonious Drive Systems (688017.SS, 688017 CG)

China Industrials China				
Stock Rating	Overweight			
Industry View	In-Line			
Price target	Rmb631.00			
Up/downside to price target (%)	115			
Shr price, close (Aug 26, 2026)	Rmb292.87			
52-Week Range	Rmb495.66-139.62			
Sh out, dil, curr (mn)	183			
Mkt cap, curr (mn)	Rmb53,699.6			
EV, curr (mn)	Rmb51,056.0			
Avg daily trading value (mn)	Rmb2,157			
Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	0.69	1.13	1.78	2.64
EPS (Rmb)§	0.69	1.03	1.54	2.28
Revenue, net (Rmb mn)	571	950	1,488	2,164
EBITDA (Rmb mn)	174	292	439	628
ModelWare net inc (Rmb mn)	124	207	327	484
P/E	277.5	259.8	164.4	110.8
P/BV	10.0	14.6	13.8	12.7
RNOA (%)	11.5	18.2	17.9	19.7
ROE (%)	3.6	5.8	8.9	12.4
EV/EBITDA	187.5	175.9	117.8	82.8
Div yld (%)	0.1	0.2	0.3	0.4
FCF yld ratio (%)**	0.3	(0.2)	(0.3)	(0.3)
Leverage (EOP) (%)	(67.3)	(59.6)	(48.8)	(37.4)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Exhibit 1: Earnings summary

Rmb mn	2Q25	3Q25	4Q25	1Q26	2Q26	2Q26 YoY	2Q26 QoQ	1H25	2H25	1H26	1H26 YoY
Revenue	153	155	164	140	208	36%	49%	251	319	349	39%
COGS	(99)	(94)	(102)	(93)	(143)	44%	54%	(164)	(196)	(236)	44%
Gross Profit	54	61	62	47	65	21%	39%	87	123	112	29%
Tax and Surcharges	(1)	(1)	(1)	(0)	(0)	-49%	10%	(2)	(1)	(1)	-48%
Selling exp.	(3)	(3)	(6)	(3)	(4)	62%	23%	(5)	(8)	(7)	52%
G&A exp.	(18)	(24)	(20)	(20)	(27)	46%	34%	(36)	(44)	(47)	29%
Operating Profit	32	34	35	23	34	5%	46%	44	70	57	29%
Financial (cost)/income	(0)	(1)	0	(1)	(0)	8%	-81%	(0)	(1)	(1)	142%
Other Income	3	4	2	8	5	63%	-35%	6	6	13	125%
Asset impairment (Loss)/Gain	(9)	(3)	(15)	(6)	(6)	-40%	-10%	(12)	(18)	(12)	3%
Net income from fair value changes	4	3	4	6	1	-66%	-77%	9	7	7	-27%
Investment Gains	10	9	11	7	10	-5%	37%	15	21	17	8%
Credit Impairment Loss	(1)	(1)	2	(0)	(2)	47%	1922%	(1)	1	(2)	28%
Non-operating profit	0	0	0	0	0	-99%	1616%	0	0	0	-99%
Non-operating loss	0	(0)	(1)	(0)	(0)	-102%	-71%	(0)	(1)	(0)	176%
Gains on Asset Dispositions	0	0	(0)	0	0	n.a.	n.a.	0	0	0	n.a.
Profit before tax	39	45	38	36	42	9%	16%	61	83	78	28%
Tax	(5)	(5)	(7)	(3)	(4)	-23%	4%	(6)	(12)	(7)	11%
Net profit	34	40	31	33	39	13%	17%	55	71	72	30%
Minority	(1)	0	(0)	(0)	(1)	30%	213%	(2)	0	(1)	-12%
Net profit to shareholders	33	40	31	33	37	13%	15%	53	71	70	31%
Margins											
Gross Margin	35.2%	39.6%	37.7%	33.6%	31.3%	-3.9%	-2.3%	34.8%	38.6%	32.3%	-2.5%
Tax and Surcharge as % of Rev	0.6%	0.4%	0.5%	0.3%	0.2%	-0.4%	-0.1%	0.7%	0.5%	0.3%	-0.4%
Selling exp. as % of Rev	1.7%	1.7%	3.5%	2.4%	2.0%	0.3%	-0.4%	2.0%	2.6%	2.1%	0.2%
G&A exp. as % of Rev	12.0%	15.3%	12.2%	14.3%	12.9%	0.9%	-1.4%	14.5%	13.7%	13.5%	-1.0%
OP Margin	20.9%	22.1%	21.5%	16.6%	16.2%	-4.7%	-0.4%	17.6%	21.8%	16.4%	-1.2%
PBT Margin	25.2%	28.9%	23.3%	25.9%	20.2%	-5.0%	-5.7%	24.4%	26.0%	22.5%	-1.9%
Effective tax rate	11.9%	11.2%	19.0%	9.3%	8.3%	-3.5%	-0.9%	10.1%	14.8%	8.8%	-1.3%
Net Margin	21.6%	25.9%	18.7%	23.3%	18.0%	-3.6%	-5.3%	21.2%	22.2%	20.1%	-1.1%

Source: Company data, Morgan Stanley Research.

Valuation Methodology and Risks

Leader Harmonious Drive Systems (688017.SS)

Base case. We use DCF to value Leaderdrive, by discounting 2025-50e cash flow at a WACC of 11% and terminal growth rate of 4%, to derive per share value of Rmb631.

Risks to Upside

- Faster growth in industrial robot demand
- Faster humanoid adoption
- Penetrating into more integrators' supply chain
- Margin expansion with high utilization and favorable product mix

Risks to Downside

- Slower humanoid volume growth
- Lower penetration of harmonic reducers in humanoids
- Market-share erosion and failure to enter leading US integrators' supply chain
- Intensified competition, greater pricing pressure

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Stock Price, Price Target and Rating History (See Rating Definitions)

Leader Harmonious Drive Systems (688017.SS) - As of 08/26/26 GMT in CNY
Industry : China Industrials



Stock Rating History: 8/1/21 : O/I; 6/30/22 : E/I; 2/4/23 : E/A; 5/23/23 : U/A; 1/8/25 : U/I; 5/19/25 : E/I; 1/22/26 : O/I

Price Target History: 4/28/21 : 99.33; 8/20/21 : 112.09; 1/10/22 : 142.29; 6/30/22 : 95.71; 8/15/22 : 140; 10/31/22 : 107; 12/13/22 : 91; 5/23/23 : 74; 9/11/23 : 66; 10/11/23 : 50; 9/16/24 : 30; 1/8/25 : 77; 3/12/25 : 138; 9/8/25 : 153; 1/22/26 : 269; 6/23/26 : 464; 7/7/26 : 631

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Date Format : MM/DD/YY

Price Target ---

No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

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INDUSTRY COVERAGE: China Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/26/2026)
Chelsea Wang		
China Railway Group (601390.SS)	E (05/12/2022)	Rmb4.46
China Railway Group (0390.HK)	E (08/11/2025)	HK\$3.45
China State Construction Engineering (601668.SS)	U (08/11/2025)	Rmb4.48
Han's Laser (002008.SZ)	O (10/02/2025)	Rmb85.68
Hefei Meyer Optoelectronic Technology (002690.SZ)	E (09/08/2025)	Rmb15.97
iRay Technology Company Limited (688301.SS)	O (07/07/2026)	Rmb96.75
Neway Valve (Suzhou) Co., Ltd (603699.SS)	O (09/12/2025)	Rmb52.75
Shanghai BOCHU Electronic Technology (688188.SS)	O (08/22/2024)	Rmb98.30
Shenzhen Envicool Technology Co Ltd (002837.SZ)	O (08/19/2024)	Rmb62.07
Sheng Zhong		
Beijing Geekplus Technology Co., Ltd. (2590.HK)	O (08/07/2025)	HK\$9.98
Centre Testing International Group (300012.SZ)	E (11/18/2024)	Rmb14.98
CRRC Corp Ltd (1766.HK)	U (01/22/2026)	HK\$5.27
CRRC Corp Ltd (601766.SS)	U (01/22/2026)	Rmb6.18
DR Laser (300776.SZ)	E (12/17/2021)	Rmb109.13
Estun Automation Co Ltd (002747.SZ)	E (08/25/2026)	Rmb31.25
Haitian International Holdings Limited (1882.HK)	E (09/08/2025)	HK\$18.27
Hongfa Technology Co Ltd (600885.SS)	O (05/23/2023)	Rmb34.52
Jiangsu Guomao Reducer Co Ltd (603915.SS)	U (01/08/2025)	Rmb13.09
Jiangsu Hengli Hydraulic Co.Ltd (601100.SS)	O (05/23/2023)	Rmb97.15
Jingsheng Mechanical & Electrical Co (300316.SZ)	U (01/08/2025)	Rmb43.47
Leader Harmonious Drive Systems (688017.SS)	O (01/22/2026)	Rmb292.87
Sany Heavy Industry Co., Ltd. (600031.SS)	O (01/08/2025)	Rmb18.86
Shenzhen Inovance Technology (300124.SZ)	++	Rmb61.90
Shenzhen SC New Energy Technology Corp (300724.SZ)	U (09/08/2025)	Rmb56.61
Sinotruk (Hong Kong) Limited (3808.HK)	E (05/19/2025)	HK\$39.70
Suzhou Maxwell Technologies Co Ltd (300751.SZ)	U (09/15/2023)	Rmb221.18

Times Electric (3898.HK)	E (01/22/2026)	HK\$32.16
WeiChai Power (2338.HK)	O (03/30/2026)	HK\$32.12
WeiChai Power (000338.SZ)	O (03/30/2026)	Rmb27.03
Wuxi Autowell Technology Co Ltd (688516.SS)	U (09/08/2025)	Rmb45.20
Wuxi Lead Intelligent (300450.SZ)	O (09/08/2025)	Rmb33.60
Zhejiang Dingli Machinery Co Ltd. (603338.SS)	O (11/05/2025)	Rmb57.58
Zhejiang Hangke Technology (688006.SS)	O (09/08/2025)	Rmb22.98
Zhejiang Shuanghuan Driveline Co. Ltd. (002472.SZ)	O (08/25/2023)	Rmb35.60
Zoomlion Heavy Industry (1157.HK)	O (09/08/2025)	HK\$6.87
Zoomlion Heavy Industry (000157.SZ)	O (09/08/2025)	Rmb7.08

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